



Income Tax Department

Ministry of Finance, Government of India

ENHANCEMENTS IN TDS MODULE AND PROCESSING OF 4TH QUARTER OF SALARY TDS RETURNS – REGARDING

TDS INSTRUCTION NO. 28 [F.NO.SW/TDS/2/2//06-DIT(S)-II], DATED 02-11-2010

As per the amended provisions of the Income-tax Act, persons deducting/collecting tax at source from salary payments are now required to furnish complete information in 4th quarterly statements. For uploading the salary TDS returns of the 4th quarter of the F.Y.2005-06 in the Income Tax database, TDS software has been modified.

2. Action Plan targets for F.Y. 2006-07 require Processing of e-TDS returns received during F.Y.2005-06 according to targets fixed by respective CCITs. Processing of salary TDS returns viz.24Q is to be done only for the 4th quarter statements, where as processing for non-salary returns i.e. 26Q statements should be done for all the quarters.

3. Challan Matching – Relaxation of matching criteria : The present criteria of matching of challans for short payments was throwing up lot of mismatches, as it was based on checking the total of these values (TAN + Date of payment + Amount + Section Code + Minor Head (200) + periodicity) of deductees of TDS return with the total collections reported in the TDS ledger. The difference of the above two values was shown as short payment.

Now software has been modified. Instead of verifying the above values from the TDS ledger, the software will check for the challan mismatch flag for every challan record. To reduce the number of mismatches the relaxed CIN based matching criteria followed by M/s NSDL is being adopted. This is done by relaxing one component of CIN (i.e. BSR code, Challan Sequence no. and Deposit date +/- 3 days) and after matching the same credit will also be given during processing of TDS returns.

4. Redesigned front end user interface : Based on user feedback, following updation and corrections have also been carried out in the TDS module.

i) Menu options have been redesigned. Following processing steps are now shown under "Processing" menu.

- a. Return Receipt Register.
- b. Return Mismatch
- c. Confirm verification results
- d. Generation of Notices
- e. Demand Order
- f. Print Demand Notice and Challan.

ii) Menu name "Print Proceeding Output" has been renamed as "Print Demand Notice and Challan".

iii) The frontend screens have been redesigned and made user friendly. The user can now go from any processing screen to the succeeding step by the press of a button

iv) Maintain Ledger menu option has been removed from "Others" and placed under Processing à Post Challan and Maintain Ledger" option.

v) To upload the 4th quarter salary TDS statements, the procedure is similar to uploading other quarterly TDS returns. Only the name of the file which will be received from NSDL has been renamed as QSYNNNNNNN.XXX.

vi) An archive problem had been reported in bulk processing of TDS returns. The same has been enhanced and the performance has also been tuned. However the DBA has to perform the work related to archiving of files more frequently since during bulk processing number of insertions, updations and deletions take place depending upon the number of returns.

vii) It was pointed out that return mismatch is taking too much time. The same has been tuned. Earlier the validation of PAN was being done at the return mismatch stage. This will now be validated at the time of printing notices for non-quoting / wrong quoting of PAN of deductees.

5. The procedure to install these enhanced modifications is as per annexure. The concerned officials may kindly be directed to execute the instructions as mentioned in the annexure during non-peak hours and no uploading of e-TDS returns should be in process during execution of patch.

6. It is requested that this instruction may be circulated to all the Assessing Officers and staff responsible for processing TDS returns on computer systems

7. In case of any problem in the installation of the modified application software, Smt. Rita Tulsaney, DD(Systems) or Shri Jayant Barua, DPA Gr.'B' of this Directorate may be contacted at telephone No.011-23555696.

For implementing the patch, the concerned technical officials may kindly be directed to follow the under mentioned procedures.

1) Download the following files by logging into the server 128.91.16.240 as oth/oth user. The files may be downloaded from the directory /home2/tds/tds/inst28/ in binary mode and copy them on the file server.

- i) DMCHOICE.fmx
- ii) DMRGNFIL.fmx
- iii) Dmtrfjmr.fmx
- iv) DPTANDIR.fmx
- v) DRTANDIR.rep
- vi) DRTDRNOP.rep
- vii) DSUSPENSE.fmx
- viii) Hm220cal.fmx
- ix) Hm220int.fmx
- x) HMADJDTL.fmx
- xi) HMBLKPRS.fmx



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- xii) HMCLOSE.fmx
- xiii) Hmcnfrtn.fmx
- xiv) HMCNFTAN.fmx
- xv) Hmcomdem.fmx
- xvi) Hmdemord.fmx
- xvii) Hmdemscn.fmx
- xviii) HMFML24Q.fmx
- xix) HMFRL24Q.fmx
- xx) Hmmandef.fmx
- xxi) Hmmisctl.fmx
- xxii) Hmorddtl.fmx
- xxiii) Hmpnldem.fmx
- xxiv) Hmpnlord.fmx
- xxv) Hmpnlrct.fmx
- xxvi) Hmpnlscn.fmx
- xxvii) Hmpnsdtl.fmx
- xxviii) HMPSTCHL.fmx
- xxix. HMRRRDTL.fmx
- xxx. HMTAXRT.fmx
- xxxi. HMTDSLED.fmx
- xxxii. HMUPDTAN.fmx
- xxxiii. HMUPLCRN.fmx
- xxxiv. HMUPLOAD.fmx
- xxxv. HPCMPRRR.fmx
- xxxvi. HPPRCRES.fmx
- xxxvii. HPRPTSPC.fmx
- xxxviii. Hprtnmsm.fmx
- xxxix. HPSCNLST.fmx
- xl. HQBLKPRS.fmx
- xli. Hqdncr.fmx
- xlii. Hqledger.fmx
- xliii. HQNLFLST.fmx
- xliv. Hqrtdtl.fmx
- xlvi. HQRNST.fmx
- xlvi. Hqrtnsta.fmx
- xlvi. hqsummry.fmx
- xlvi. Hr139a.rep
- xlvi. Hr2011a.rep
- l. Hr24npmt.rep
- li. Hr271c.rep
- lii. Hrlftrds.rep
- liii. Hrltpmnt.rep



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liv. Hrrtnmsm.rep

lv. HRRTNRCD.rep

lvi. Hrrtnreg.rep

lvii. Hrtdsreg.rep

lviii. ItdEtds.mmx

lix. TDS01R25.fmx

2. Delete the entry of TDS and APPMGR from the product profile and grant DBA to TDS before running the patch.

3. Run the file TDS01R25.FMX with the userid "system" to implement the patch in the e-TDS software, and then TDS administrator is requested to refresh all the snapshots of TDS module. Once in a month these snapshots should be refreshed.

4. During execution of the patch, uploading of flat files and bulk processing should not be in progress.

